ranging from 7 to 40 percent.[12] In fact the major beneficiaries of cheaper imports were the upper classes and salary earners which B. F. Madon illustrated with a provocative example:[13] ‘Suppose a lot of cotton was sent to Europe for sale and fetched £1,000. My honourable friend here (referring to the Finance Member Sir Basil Blackett) has, let us suppose, ordered a Roll Royce which also costs £1,000. If exchange was at 1s 4d, the owner of the cotton would receive ₹15,000 and my honourable friend would pay ₹15,000 for his car. At 1s 6d the owner of the cotton would get only ₹13,000 while my honourable friend would have paid only ₹13,000, i.e. saved ₹2,000.’ The other major impact on the agriculturist of a higher rate was the raising of the value of their fixed commitments such as debt, interest payments, rent, and land revenue by 12.5 percent. Purshotamdas questioned the moral justifiability of imposing an additional burden on a class which was already overburdened.

Purshotamdas also challenged the view that a high exchange rate reduced the burden of India’s sterling obligations and eased the revenue situation of the Government of India, enabling it to meet the necessary remittance without recourse to additional taxation. The loss in revenue by stabilizing the rate at 1s 4d was estimated at ₹3.16 crores (General Budget) and ₹1.01 crores (Railway Budget). Purshotamdas argued that revenue from customs duties would fall as a result of the higher rate and he calculated that customs would yield ₹2.62 crores more if the rate was pegged at 1s 4d. Also, the income tax and corporation tax would fall. Thus according to him the gain to the exchequer was neither a ‘decisive factor’ nor a ‘practical issue deserving consideration.’[14]

With regard to the impact on industry, Purshotamdas observed that a 1s 6d rate presented the foreign manufacturer with an ‘effective though an indirect bounty of 12.5 percent’ which would place a heavy strain on Indian industries both nascent and established.[15] Also, it was argued by the Indian capitalists that even though they had to pay 12.5 percent less on cotton imports, the higher exchange rate decreased the purchasing power of their main customer for cloth, the Indian cultivator, thereby effectively negating by a reduced internal demand any advantage conferred by the higher rate.

Purshotamdas observed that a 1s 4d rate was more equitable from all national points of view. In the concluding paragraphs of his Minute he noted: ‘I have very grave apprehensions that if the recommendations of my